Solution

Calculation of sacrificing ratio

Sacrificing ratio = Old share – New share

Aravind $= \frac{3}{5} - \frac{1}{3} = \frac{9-5}{15} = \frac{4}{15}$

Balaji $= \frac{2}{5} - \frac{1}{3} = \frac{6-5}{15} = \frac{1}{15}$

Therefore, sacrificing ratio is 4:1

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Cash A/c	Dr.		12,000	
	Anirudh's capital A/c	Dr.		8,000	
	To Aravind's capital A/c (4/5)				16,000
	To Balaji's capital A/c (1/5)				4,000
	(Share of goodwill of Anirudh credited to old partners' capital account)				

4. Existing goodwill

If goodwill already appears in the books of accounts, at the time of admission if the partners decide, it can be written off by transferring it to the existing partners' capital account / current account in the old profit sharing ratio. The following journal entry is to be passed:

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Old partners' capital / current A/c (in old ratio)	Dr.		xxx	
	To Goodwill A/c				xxx
	(Existing goodwill written off)				

Illustration 23

Sathish and Sudhan are partners in a firm sharing profits and losses in the ratio of 4:3. On 1st April 2018, they admitted Sasi as a partner. On the date of Sasi's admission, goodwill appeared in the books of the firm at ₹ 35,000. By assuming fluctuating capital account, pass the necessary journal entry if the partners decide to

(i) write off the entire amount of existing goodwill

(ii) write off ₹ 21,000 of the existing goodwill.

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